

them in India's journey of growing into a \$5-trillion economy and beyond, investors say they must learn to turn profitable quickly as early-stage capital is limited. In the decade since the boom kick-started it all, the world's third-largest start-up ecosystem is home to 100-odd unicorns. A cumulative \$180 billion start-up funding will have flown in by 2023. But there are just 20-30 great examples of profitable start-ups. Says Reddy: "The appetite for funding a futuristic dream without any sustainability is limited. The setback in the current market is a signal of that."

Co-Chair K. Nandakumar. "MSME entrepreneurs are anxious whether they will succeed in manufacturing. They prefer to set up services ventures where the risks are lower. If India has to leverage the China+1 strategy as global supply chains get realigned, we have to aggressively focus on manufacturing."

Although manufacturing needs an extra push, the overall MSME contribution to India's GDP has also stagnated at 30 per cent for the past decade. The government wants to grow the GDP from the current \$3.5 trillion to \$5 trillion by 2024-25

improving their underwriting with digital processes.

With ESG adherence becoming a crucial part of tapping into global markets, MSMEs have another cost coming their way. But failing to adhere will be a bigger opportunity cost, says Dun & Bradstreet's Singh. "No matter how cost-effective or good your products are, global counterparts will have a restriction in engaging with companies whose MSMEs are not ESG compliant." Meanwhile, firms like MOVIN Express are already prepping for the potentially huge opportunity to be

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"BY SUCCESSFULLY SETTING UP A STRONG CHIPSET ECOSYSTEM, INDIA WILL BE ABLE TO DERIVE SIGNIFICANT BUSINESS AND STRATEGIC GAINS"

ANKU JAIN

DIRECTOR, MEDIATEK INDIA



"THE FIRST CHALLENGE IS TO TRANSITION MSME CREDIT FROM INFORMAL TO FORMAL SOURCES OF FINANCE"

S. RAMANN

CHAIRMAN & MD, SIDBI

WITH ITS LONG-TERM employment generation capacity at scale for low-skilled labourers, ability to substitute imports, fulfil consumption demand created by a flourishing services sector, as well as leverage the China+1 opportunity, a services-oriented India needs to boost its manufacturing MSMEs. India's estimated 64 million MSMEs account for a third of the GDP of \$3.5 trillion and create 120 million jobs. But more than 80 per cent of the MSMEs play in the services sector; manufacturing MSMEs account for less than 20 per cent. Newer MSMEs are coming up in the services sector and IT/ITeS is the most attractive sub-sector, says CII National MSME Council

with 50 per cent share from MSMEs. That means MSMEs alone have to add 75 per cent of the incremental GDP over the next few years, says Arun Singh, Global Chief Economist at Dun & Bradstreet. That's a challenge on two major counts—finance and market access. Only 16 per cent of MSMEs' credit needs are met by formal sources, International Finance Corporation data shows. They mostly turn to their friends or loan sharks who charge very high interest rates. "The first challenge is to transition MSME credit from informal to formal sources of finance," says SIDBI Chairman S. Ramann. But he sees the situation improving with fintechs offering secured and unsecured loans, and banks and financial institutions

generated by the expanding MSME sector in the country.

"We are working with all enterprise customers, but it is the MSME market that will grow well. The MSMEs are lean, efficient and agile. And given the right sort of access to capital and infra, they can outperform," says MOVIN's Singh.

In the current swirl being witnessed in the economy, the decisions made today will determine the road to 2047. Or as our ancient texts inform us, it takes considerable churning of an ocean to produce *amrit* or nectar. This time, it's an ocean of possibilities that require intense churning to discover the *amrit* of future opportunities. **BT**

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